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JUDGMENT SHEET

IN THE LAHORE HIGH COURT
BAHAWALPUR BENCH BAHAWALPUR
(JUDICIAL DEPARTMENT)

Writ Petition No.32 of 2026

Zulfiqar Ali Saleem

Versus

Province of Punjab through Chief Secretary, Punjab and 05 others

Petitioner by:- Mr. Ahmad Mansoor Chishti, Advocate.
Respondents by: Mr. Jamshed Iqbal Khakwani, Assistant Advocate General, Punjab.
Ms. Shagufta Rehman, Advocate for respondents Nos.2 to 5 with Hafeez Ahmad, District Manager Auqaf, Rahim Yar Khan.
Nemo for respondent No.6.
Date of hearing: - **28.04.2026**

JUDGMENT

RAHEEL KAMRAN, J.: The petitioner through the instant petition filed under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (“**the Constitution**”) seeks a declaration that impugned order dated 20.08.2025 passed by respondent No.2 is illegal, without lawful authority, arbitrary and in violation of the Punjab Waqf Properties (Administration) Rules, 2002 (“**Rules of 2002**”) and thus liable to be set aside. The petitioner as a consequence prays for issuance of directions to the respondents to act strictly in accordance with law by extending the lease in his favour for the third year with enhancement of 20% of the lease amount and for the subsequent permissible period in terms of the relevant Rules along with any other relief deemed just and proper in the circumstances of the case.

2. The facts forming the background to the filing of the instant petition precisely are that land measuring 1658 acre 05 kanal and 02 marla

attached with shrine of Khawaja Ghulam Farid, Kot Mithan is under the management and control of the Auqaf Department and is being leased through public auction. In the last auction conducted for the year 2024-25, the petitioner emerged as the highest bidder at an annual lease amount of Rs.71,09,728/-. Thereafter, the lease was extended for the second year i.e. 2025-26 vide order dated 09.09.2024 passed by respondent No.5, on payment of 20% enhancement over the initial bid amount, thereby raising the total lease money to Rs.85,31,674/-, in terms of Rule 7(1)(i)(b)(bb) of the Rules of 2002. Subsequently, respondent No.6, namely Syed Muhammad Hassan Gillani moved an application claiming that since his forefathers have developed the land in question, he has a superior right of lease of land in his favour and as such was willing to pay a lease amount of Rs.1,20,00,000/-. Subsequently, respondent No.6 filed Writ Petition No.4133 of 2025 before this Court which was disposed of on 18.06.2025 with a direction to respondent No.2 to decide the application submitted by respondent No.6. In compliance with the said direction, respondent No.2 decided the application vide order dated 20.08.2025 (impugned order) whereby while declining to cancel the order dated 09.09.2024 directed re-auction of the leased land for the year 2026-27, subject to deposit of Rs.60,00,000/- by respondent No.6 on or before 31.12.2025, which amount has since been deposited.

3. Learned counsel for the petitioner submits that under Rule 7(1)(i)(b) of the Rules of 2002, the petitioner, being a lawful lessee and having already been granted extension for the second year, is entitled to further extension for the third year on payment of the prescribed enhancement of 20%. He contends that the petitioner is ready and willing to deposit the requisite enhanced lease amount forthwith and that the statutory benefit flowing from the said rule cannot be denied merely because respondent No.6 has subsequently offered a higher amount.

4. Conversely, learned counsel for respondents No.2 to 5 (Auqaf Department) contends that Rule 7 *ibid* is directory and not mandatory in nature. It is argued that the department is not denuded of its authority to

initiate fresh proceedings for grant of leasehold rights, particularly where a higher offer of Rs.1,20,00,000/- has been made by respondent No.6, whose *bona fides* were initially shown by deposit of Rs.60,00,000/- on 31.12.2025. It is, therefore, submitted that the impugned order has been passed in the larger interest of revenue and proper administration of waqf property.

5. The question that arises for consideration is whether Rule 7 *ibid* relating to extension of lease is mandatory in nature so as to confer upon the petitioner a right of extension on fulfillment of the prescribed conditions, or merely directory, thereby leaving discretion with the Auqaf Department to auction the leasehold rights afresh in the interest of better revenue and administration.

6. Syed Mahmood Hassan Gillani respondent No.6 appeared before this Court on 14.04.2026, 15.04.2026 and 16.04.2026; on the last mentioned date he reiterated his stance that since his forefathers had developed the land in question, he possessed a superior right to obtain lease thereof for the year 2026–27 onwards and for that purpose expressed his willingness to pay Rs.1,20,00,000/-. Upon a query put by the Court, he stated that the last lease auction granted in his favour was in the year 2011. However, he conceded that the petitioner had emerged as the successful bidder for the leasehold rights in question for the year 2024–25. The said respondent has not appeared today when the case was taken up for hearing. No request for adjournment has been made on his behalf nor is there any intimation explaining his absence. Accordingly, respondent No.6 is proceeded against *ex parte*.

7. Arguments heard and record perused.

8. At the very outset, it is significant to note a subsequent development which has material bearing on the controversy in hand. Learned counsel for respondents Nos.2 to 5 candidly submitted during the course of arguments that respondent No.6, on whose offer of Rs.1,20,00,000/- the impugned order dated 20.08.2025 principally rests, has moved an application on 15.04.2026 before the competent authority

seeking withdrawal of the said offer. It is also not disputed that in the impugned order itself, it was observed that, in case of failure by respondent No.6 to deposit the required amount if and application for extension was received from the present petitioner, the same would be considered for the year 2026-27. The petitioner has already placed on record his application for extension, received by the department on 30.09.2025. Therefore, the very premise on which re-auction proceedings were proposed now stands substantially eroded and the matter, even according to the tenor of the impugned order, reverts to consideration of the petitioner's claim for extension. Be that as it may, since learned counsel for respondents No.2 to 5 is opposing this petition while emphasizing upon discretionary nature of Rule 7 *ibid*, therefore, it is deemed appropriate to decide the controversy.

9. Adverting now to the merits of the case, it would be advantageous, before examining the rival contentions of the parties, to reproduce the relevant provisions of the Rules of 2002, i.e. Rules 5 and 7, which govern the scheme and manner of leasing waqf properties and form the statutory foundation of the controversy in hand:-

“5. Submission of scheme to the Chief Administrator.–

(1) The manager shall submit the scheme prepared by him to the Administrator who shall forward it with his recommendations to the Chief Administrator.

(2) The Chief Administrator may settle, or refuse to settle, or return for reconsideration any scheme submitted to him under sub-rule (1), or may call for such further details or information about the scheme, or direct such further examination of the scheme as he may consider necessary.

7. Lease of Waqf Properties.–

(1) Unless otherwise specifically provided in the scheme settled under rule 5, the following directions with regard to the lease of waqf property shall be deemed to form part of such scheme:-

(i) Where the lease relates to land:-

(a) the lease shall be in writing;

(b) the period of lease shall be one year and shall not exceed three years with the following break up:-

(aa) first year's money to be determined in the open auction;

(bb) second year 20% increase; and

(cc) third year 20% increase.

The lease shall be extendable, subject to the approval of the Chief Administrator Auqaf for further two years with the following rate of lease money:-

First year 10%

Second Year 10%

Provided that the Chief Administrator of Auqaf may grant a lease for any longer period if in his opinion such action is necessary in the best interest of the waqf property; - - -

The language employed in the above provisions is plain, unambiguous and leaves little room for the interpretation suggested by the respondents. Unless otherwise specifically provided in the scheme prepared by the manager and settled by the Chief Administrator Auqaf under Rule 5, in 2002 Rules, Rule 7 itself contemplates an initial lease structure extending up to three years. While the first year's lease money is to be determined through open auction, the lease amount for the second and third years has been specifically pre-determined by the Rule through enhancement of 20% each year. Once the rule maker has itself prescribed the mechanism for continuation of lease during the second and third years, the same cannot be displaced by importing a requirement of fresh auction every year merely because some third party subsequently offers a higher amount. However, extension of such lease may be declined where the very auction of the leasehold rights is void in law. Indeed, certainty of lease period extending upto three years subject to specified rate of annual increase provides an incentive to the bidders to participate. Additionally, subject to the approval of the Chief Administrator Auqaf, the lease may further be extended for an additional period of two years on enhancement of lease money by 10% for the first extended year and by a further 10% for the second extended year. Subsequent extension does not stand on the same footing as the initial three-years tenure contemplated by Rule 7(1)(i)(b), rather it is discretionary as is evident from the use of word "extendable" and expressly makes such extension dependent upon the approval of the Chief Administrator Auqaf. It is clarified that any *bona fide* and substantial offer exceeding the enhanced lease amount clearly constitutes valid ground for declining to extend the lease by the Chief

Administrator Auqaf for further two years while resorting to fresh auction in accordance with law to safeguard the best interest of the waqf property. Last but not the least, proviso to Rule 7(1) *ibid* confers discretion upon the Chief Administrator Auqaf to grant a lease for any longer period if in his opinion such action is necessary and in the interest of the waqf property. It is by now well settled that such discretionary power cannot be exercised arbitrarily but only in the best interest of the waqf property and the formation of opinion under that provision is justiciable. Such authority may legitimately be invoked by the Chief Administrator Auqaf in such circumstances where, for example, successive auctions of lease of the waqf property have failed to yield fruitful results.

10. Acceptance of the respondents' contention would render sub-clauses (bb) and (cc) otiose and redundancy cannot be attributed to such clauses¹. If the department were free to ignore the enhancement mechanism provided in the rules and resort to fresh auction at its own discretion after the first year, there was no occasion for the rule-making authority to separately provide for increase in lease money for the second and third years.

11. The plea of the learned counsel for the respondents that Rule 7 of the Rules of 2002 is merely directory is equally misconceived. The said Rule forms part of a statutory framework regulating administration of waqf properties. Where a law prescribes the manner in which a power is to be exercised, the authority concerned is bound to act within those parameters. Administrative discretion cannot be invoked in derogation of an express rule. Thus, once the petitioner as successful bidder was granted lease for the first year and thereafter extension for the second year under the very same Rule, the respondents could not arbitrarily deny consideration for the third year if the petitioner was ready and willing to deposit the enhanced lease amount.

¹ *"Collector of Sales Tax and Central Excise (enforcement) and another v. Messrs Mega Tech (Pvt.) Ltd."* (2005 SCMR 1166), *"Messrs Pakistan Television Corporation Limited v. Commissioner Inland Revenue (Legal), LTU, Islamabad and others"* (2017 SCMR 1136).

12. It is also noteworthy that the higher offer of respondent No.6 was treated as the principal justification for declining the petitioner's claim. However, once respondent No.6 himself sought withdrawal of that offer, the basis of preferring re-auction stands materially weakened. Administrative action affecting vested or accrued statutory rights cannot be sustained on uncertain or fluctuating offers, particularly where the governing Rules themselves provide a definite course of action.

13. The impugned order dated 20.08.2025, to the extent it ignores the statutory scheme and denies consideration to the petitioner merely on the basis of a subsequent higher offer, cannot be sustained in law. Consequently, this petition is **allowed**. The impugned order dated 20.08.2025 passed by respondent No.2 is declared to be without lawful authority and of no legal effect and is hereby set aside. The respondents are directed to consider and decide the petitioner's application for extension of lease for the third year strictly in terms of Rule 7(1)(i)(b) of the Punjab Waqf Properties (Administration) Rules, 2002, subject to deposit of the requisite enhanced lease amount and fulfillment of other codal formalities, through a speaking order within ten (10) days from receipt of a certified copy of this judgment.

14. It is, however, clarified that for any period beyond the initial three-year term, the respondents shall remain at liberty to proceed strictly in accordance with law and the applicable Rules as explained hereinabove. Office shall transmit a copy of this judgment to respondents Nos.4 and 5 forthwith.

(RAHEEL KAMRAN)
JUDGE

Approved for reporting.

JUDGE

Waqas/Azhar*